INVESTMENT COMMITTEE MEMO

Olympus Corporation

TSE: 7733 - the global #1 in GI endoscopy at a 10-year-low multiple after an FDA Warning Letter, with a Surgical strategic review under way

RECOMMENDATION: BUY

12-MO TARGET: JPY2,350 (+39%)

Reference price JPY1,690 (16-Oct-26)	52-wk range (close) JPY1,310-2,187	Mkt cap JPY1.80tn / US$11.4bn	Net debt JPY200bn (Jun-26)
Dividend FY3/27E JPY30 (1.8%)	Largest disclosed holder Artisan 5.63% (Jul-26)	Board 9 of 10 independent; ValueAct's Hale	Consensus target JPY2,123 (13 analysts)

9.35x

TEV / LTM EBITDA - 6th percentile of its own 10-year range (avg 13.7x); peer median 13.7x

-16.8%

Share move in three sessions after the six-site FDA Warning Letter (13-Oct-26); the letter does not restrict sales or 510(k)s

JPY2,350

12-mo target; probability-weighted value JPY2,258 (+34%); takeout range JPY2,500-3,300

RECOMMENDATION

Buy: a dominant GI franchise priced for a quality crisis, with a portfolio event attached

9.35x

TEV / LTM EBITDA (1.91x sales): 4th-lowest of 33 medtech peers (median 13.7x) at a peer-median 14.4% EBIT margin

~70%

Global share of flexible GI endoscopy [u]; ~45% of GIS revenue is recurring service and consumables [e]

JPY2,389

Base-case SOTP per share: GIS 12x FY3/27E EBITDA, SIS 1.2x sales (SIS lost JPY15bn in FY3/26; under review)

JPY470bn

Buybacks since Dec-2021 (shares -17%); JPY60bn ToSTNeT-3 block at JPY1,540 in May-26

25%

Bear-case probability (FDA escalation to consent decree / wider import alert) - JPY1,250 (-26%)

Why now - an event-driven set-up

- **Forced de-rating on an FDA headline:** the Warning Letter criticises responses to late-2025 Form 483s; the ship-holds and ~JPY30bn hit are already in FY3/26 numbers
- **Earnings trough passed:** 1Q FY3/27 adjusted OP JPY30.7bn (+133%), SG&A 52% of sales (59% a year ago); ~2,000 roles cut (~JPY24bn)
- **Portfolio event:** strategic review of Surgical (May-26), "nothing is off the table"; PENTAX (Hoya) also for sale - a fresh endoscopy mark
- **Near-term dates:** FDA response (~early Nov), 2Q results (Nov; buybacks were announced at 2Q in 2022-23), JPM (Jan)

What has to go right

- FDA accepts the corrective-action plan; no new ship-holds or import alerts; re-inspection in 2027
- FY3/27 guidance held at 2Q and 3Q (cut in each of the last four Februaries)
- SIS review ends in a sale, JV or carve-out rather than "retain and fix"
- Net debt stays below ~1x EBITDA while buybacks resume

Position sizing: event-driven, medium conviction, high event risk. Starter half-position now; add the second half after the Warning Letter response and 2Q results show no escalation. Hard stop on any expansion of Import Alert 89-04 to GI scopes or consent-decree language. Optional hedge: short a Japan medtech basket (Terumo/Sysmex) to isolate the Olympus-specific discount.

At a glance: a dominant GI endoscopy franchise attached to a loss-making surgical arm

What it does

- Pure-play medtech since selling cameras (JIP, 2021) and scientific instruments (Evident to Bain, JPY428bn, 2023)
- **GIS (69% of sales):** world #1 flexible GI endoscopy (~70% share [u]); ~30% of GIS is Medical Service (repair, contracts)
- **SIS (31%):** #2-3 positions in ureteroscopes, EBUS, energy (THUNDERBEAT); sub-scale in laparoscopic visualisation and ENT
- Regions FY3/26: North America 40%, Europe 28%, Japan 10%, Asia/Oceania 10%, China 8% (down from 14% in FY3/22)
- Manufacturing concentrated in Japan (Aizu, Hachioji, Hinode, Aomori, Shirakawa) - exposed to the 15% US tariff and FDA inspections

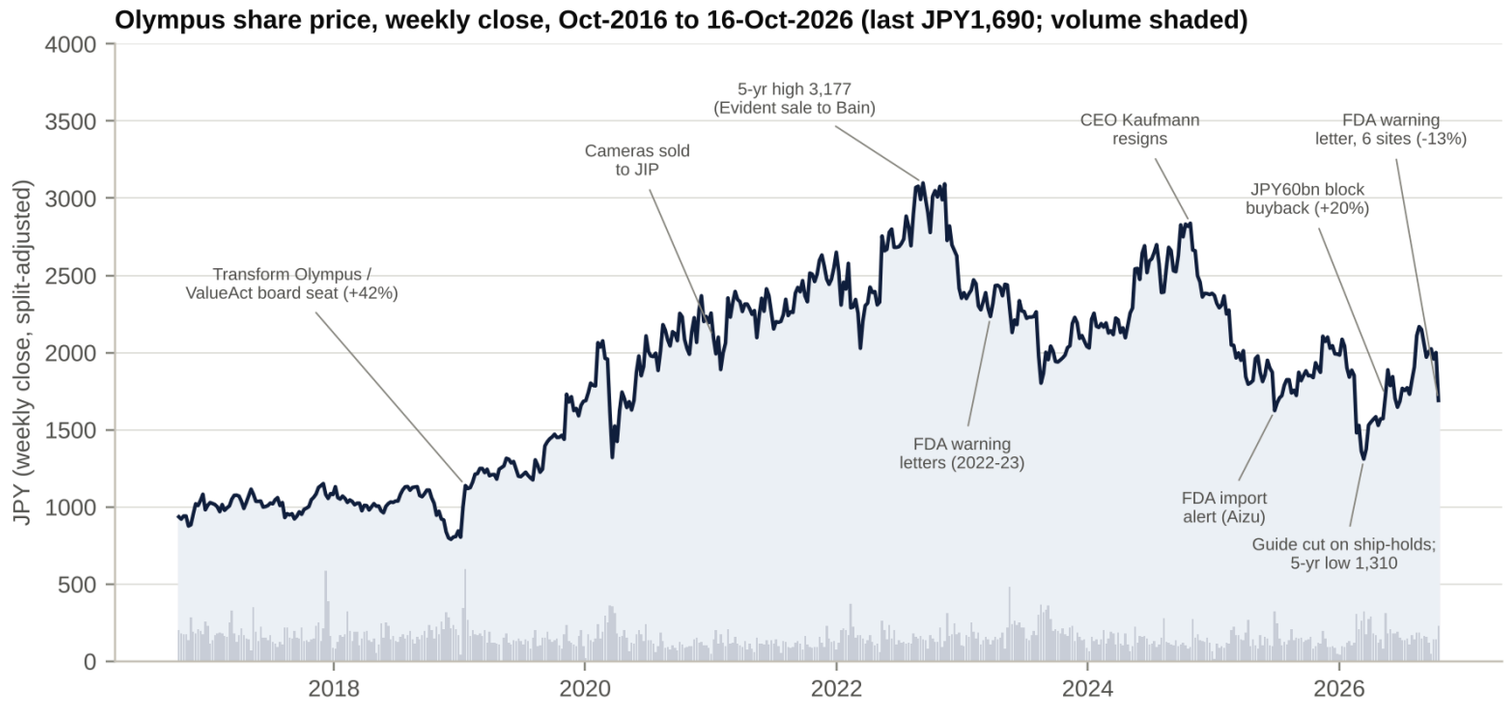
Segments (IFRS OP incl. other items)

Segment (JPY bn)	FY3/25	FY3/26	FY3/27E	Comment
GIS revenue	674.0	697.4	744.8	EVIS X1, EDOF, endotherapy, service
GIS OP margin	25.4%	19.6%	22.5%	Tariffs and remediation in FY3/26
SIS revenue	322.8	313.1	326.9	Urology, respiratory, surgical, ENT
SIS OP margin	4.7%	-4.8%	0.5%	Ship-holds; strategic review
Group revenue	997.3	1,010.7	1,071.9	~0% cc FY3/26; ~3% cc FY3/27 guide
Adjusted OP margin	**18.9%**	**14.2%**	**16.0%**	**Target 20%+ ("3-4-5" plan)**

Source: tanshin FY3/26; our estimates [e]. Segment OP includes allocated restructuring and impairments.

The single most distinctive fact: SIS carries JPY555bn of segment assets and lost JPY15bn in FY3/26; GIS earned JPY136bn on JPY735bn. At JPY1,690, the market values the whole group below our value of GIS alone (12x EBITDA, less corporate costs and net debt: ~JPY2,020 per share) - SIS is priced at less than zero.

Governance and portfolio fixed; quality not - and the stock is below its 2021 level



Key catalysts

JAN 2019	Transform Olympus with ValueAct (+42%)
AUG 2022	Evident sold to Bain; 5-yr high JPY3,177
NOV 2022	FDA Warning Letters (Aizu, Hachioji)
OCT 2024	CEO Kaufmann resigns (drug allegation)
JUN 2025	FDA import alert on Aizu (-10.6%)
NOV 2025	3-4-5 plan; 2,000 job cuts (+11.5%)
FEB 2026	Guide cut on ship-holds; low JPY1,310
MAY 2026	Surgical review + JPY60bn buyback (+19.9%)
OCT 2026	Six-site FDA Warning Letter (-13.4%)

11 sessions with a move of 10%+ in five years; 8 followed results. Since Jun-2025 every 10%+ down day was FDA-driven. Five-year change -33% vs +104% for TOPIX (1306 ETF). Source: S&P Capital IQ.

Bottom-decile multiples against peers and its own history - at a peer-median margin

Metric	Olympus	FUJIFILM	HOYA	Terumo	Boston Sci	Stryker	Medtronic	STERIS	Ambu	Median (33 peers)
TEV/Sales	1.91x	1.48x	8.22x	3.02x	3.65x	4.84x	3.62x	3.86x	3.26x	3.04x
TEV/EBITDA	9.35x	9.98x	20.93x	11.39x	13.42x	16.48x	12.68x	13.53x	21.67x	13.73x
NTM TEV/EBITDA	8.9x	8.6x	18.9x	11.0x	12.1x	15.3x	12.4x	12.3x	12.8x	12.3x
TEV/EBIT	13.7x	15.6x	24.9x	15.5x	17.8x	20.3x	18.0x	20.3x	28.8x	18.6x
P/E (fwd)	15.7x	13.5x	29.3x	21.7x	13.8x	18.5x	15.8x	19.4x	23.2x	19.7x
EBIT margin	14.4%	9.5%	32.9%	19.5%	20.5%	23.8%	20.1%	19.0%	11.3%	14.2%
Sales growth	7.8%	7.4%	12.3%	14.1%	13.5%	8.5%	9.8%	8.4%	4.7%	7.4%
Net debt/EBITDA	0.92x	1.89x	-1.32x	0.40x	2.12x	1.62x	1.84x	0.95x	-0.14x	1.84x

LTM (mostly to Jun-2026); prices 16-Oct-2026. Source: S&P Capital IQ. Japanese forward P/E from calendar-weighted consensus net income; US forward P/E on adjusted EPS (not like-for-like).

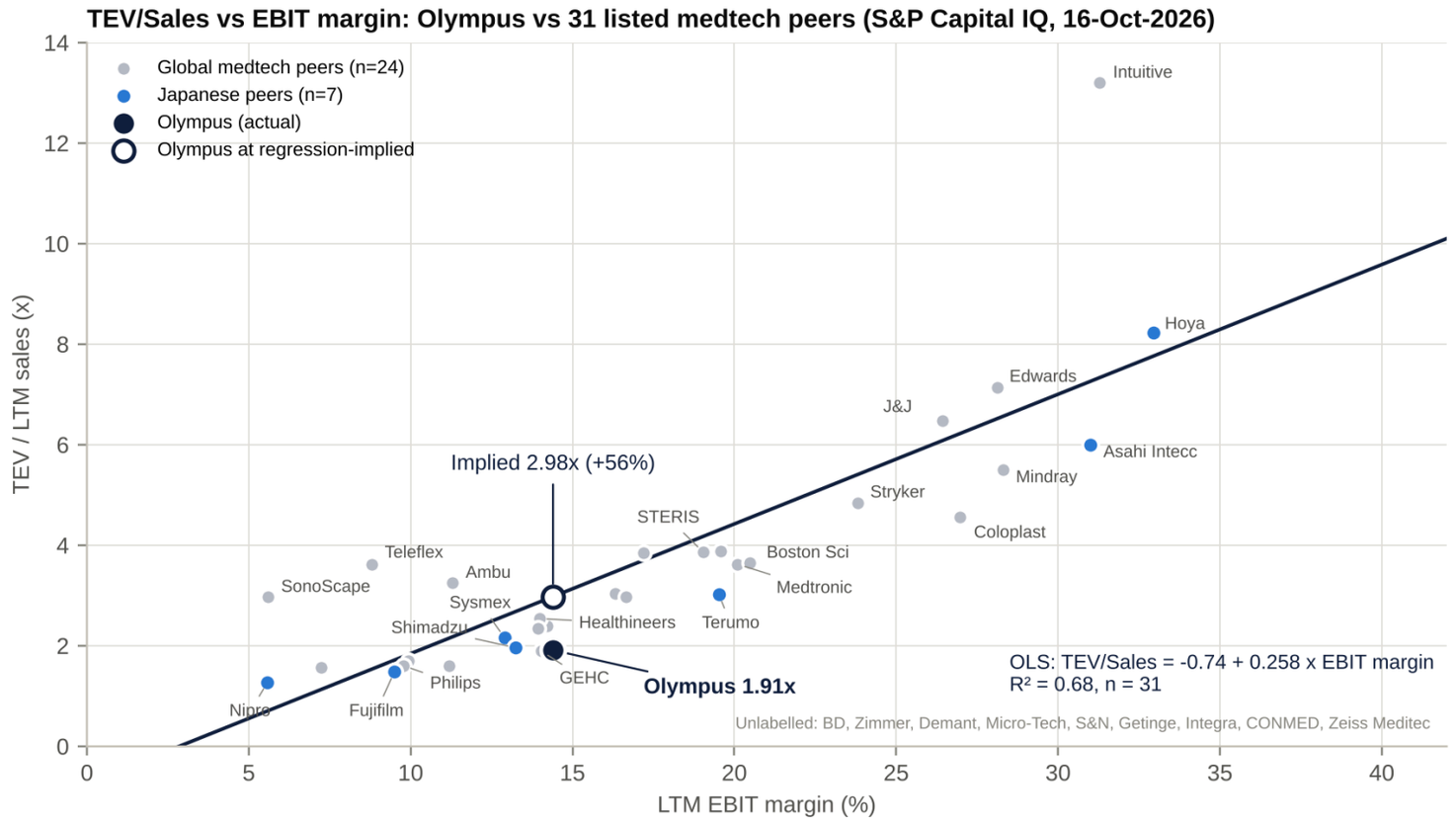
What the comparison shows

- Olympus is 4th-cheapest of 33 on LTM TEV/EBITDA; 28% below the peer NTM median and ~36% below endoscopy/GI peers
- On its own history: 6th percentile on TEV/EBITDA (10-yr avg 13.7x; 3-yr 12.1x), 4th on P/B; HOYA and FUJIFILM sit at their 65th/82nd percentiles
- Margin (14.4%) and growth (7.8%) are at the peer median - the discount is FDA and execution, not franchise quality

The honest counter-read

- On reported OP, FY3/27E EV/EBIT is 13.8x and P/E 18.2x - "9x EBITDA" flatters a company whose "one-offs" recur (JPY167bn over five years)
- The cheap names alongside it (Philips, Integra, CONMED) all have quality or regulatory scars - the market prices them for years

Regression: Olympus trades at two-thirds of the multiple its margin would justify

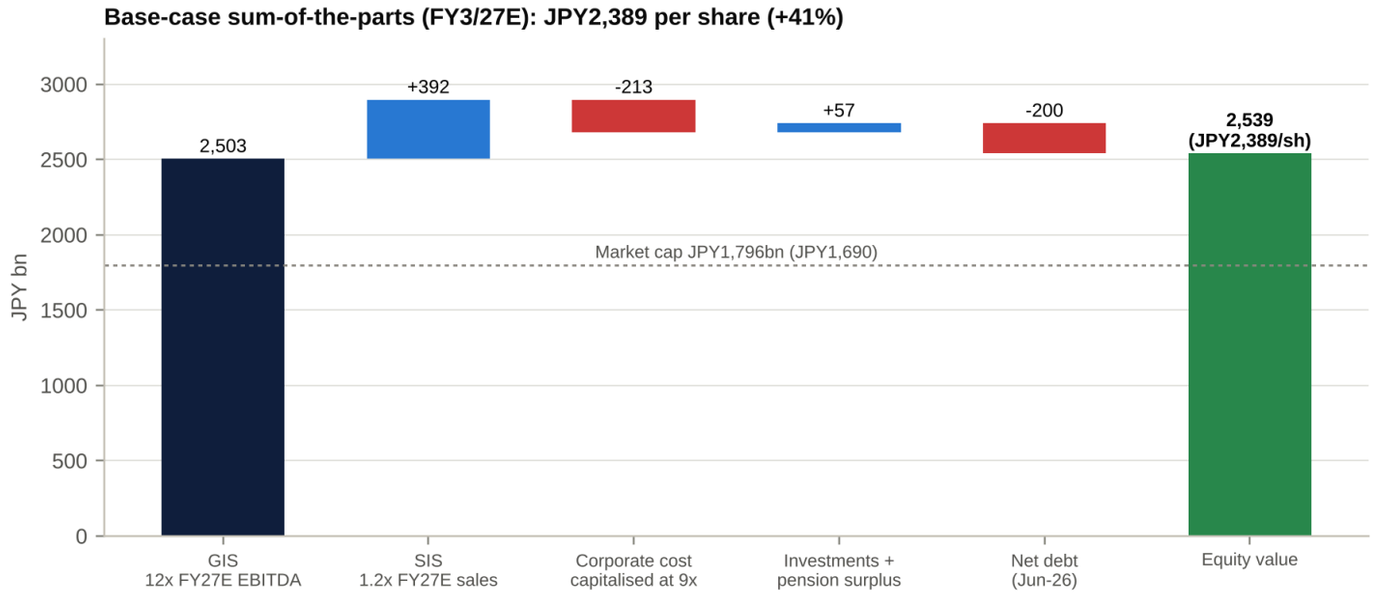


How to read it

- **Olympus at 1.91x** sits well below the line; the simple OLS implies **2.98x** at its 14.4% EBIT margin (+56%)
- Slope 0.258x per point of margin: each 1pp of EBIT margin is worth ~JPY270bn of EV (~JPY250/share)
- R^2 0.68 (n=31). A Japan dummy (-0.53x, not significant) still implies 2.56x - JPY2,330 per share
- Excluding Intuitive, HOYA and SonoScape (n=28, R^2 0.81): 2.79x - JPY2,555
- The regression cannot price an open FDA matter - we use the conservative Japan-dummy value as one of four target inputs

TEV/Sales = -0.74 + 0.258 x EBIT margin (%), R^2 = 0.68. Implied value = (multiple x LTM sales JPY1,045bn - net debt JPY200bn) / 1,062.8m shares. Source: S&P Capital IQ, our calculations.

Sum-of-the-parts: JPY2,389 per share in the base case, with GIS doing nearly all the work



Base-case SOTP (JPY bn)

Component	Method	JPY bn
GIS	12x FY3/27E EBITDA (209)	2,503
SIS	1.2x FY3/27E sales (327)	392
Corporate costs	9x JPY23.7bn	-213
Investments + pension	Book; 70% of surplus	+57
Net debt	Jun-26	-200
Equity / per share	**1,062.8m shares**	**2,539 / JPY2,389**

- GIS at 12x EBITDA is a discount to endoscopy/GI peers (14.0x NTM) and to mature medtech deals (~17x)
- SIS at 1.2x sales is below mid-cap surgical peers (1.65x) - a loss-maker with ship-holds
- Target JPY2,350 = average of SOTP (2,389), 19x FY3/28E P/E (2,169), 11x FY3/28E EBITDA (2,440) and regression (2,329)

SIS is valued at less than zero - any credible exit crystallises JPY300-490 per share

JPY313bn

SIS FY3/26 revenue: urology, respiratory, surgical endoscopy, energy, ENT, gynaecology

-4.8%

SIS FY3/26 OP margin (4.7% in FY3/25): ship-holds after eight FDA inspections

JPY555bn

SIS segment assets - a sale at our value would book a ~JPY150-170bn loss but lift value per share

May-2026

Strategic review of Surgical launched: "nothing is off the table"; no timetable

+4-12%

FY3/28E EPS accretion from a sale at 1.2x sales, depending on buyback vs debt paydown [e]

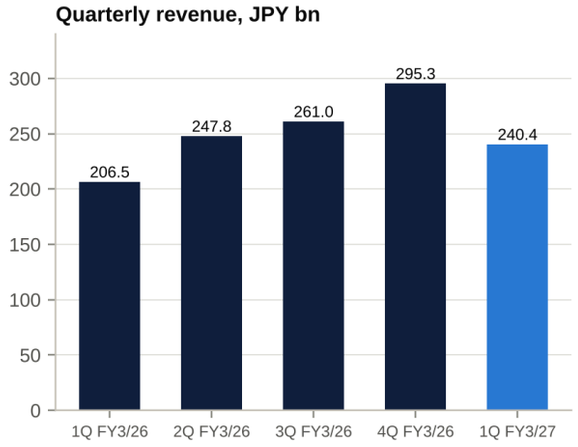
SIS EV / sales	SIS value (JPY bn)	Per share	% of mkt cap	SOTP (GIS 12x)
0.6x (distressed)	196	JPY185	11%	JPY2,204
0.8x	262	JPY246	15%	JPY2,266
1.0x	327	JPY308	18%	JPY2,327
1.2x (base)	**392**	**JPY369**	**22%**	**JPY2,389**
1.6x (strategic buyer)	523	JPY492	29%	JPY2,512

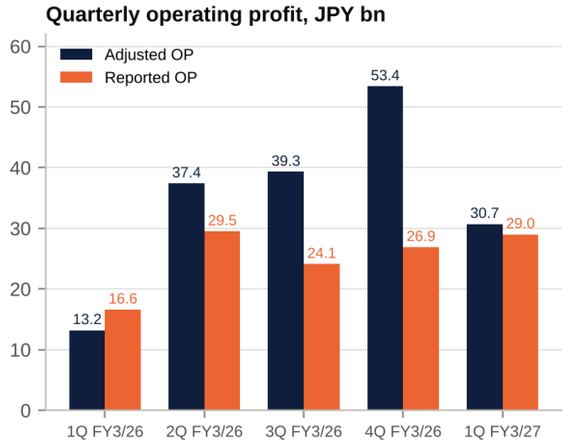
FY3/27E SIS sales JPY327bn [e]. SOTP holds GIS at 12x FY3/27E EBITDA.

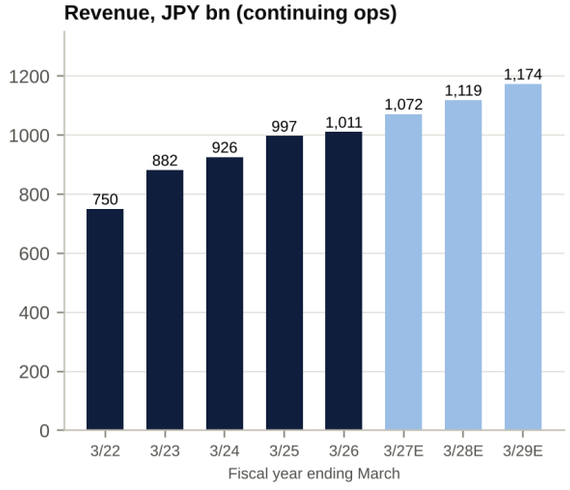
What to watch

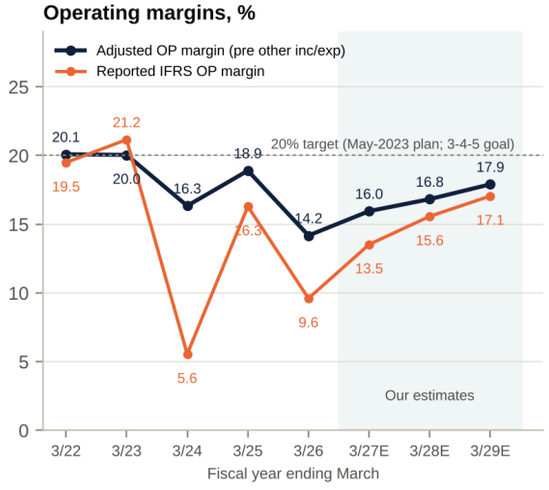
- **Buyers:** Karl Storz, Stryker, Teleflex-style PE carve-out buyers (Montagu, Kohlberg), Integra, CONMED; urology to BSX
- **Template:** Teleflex sold OEM and Acute Care/IU for US$2.03bn (Dec-25); Evident to Bain at 3.6x sales
- **Complexity:** two of the six Warning-Letter sites (Hamburg, Gyrus ACMI) are SIS - remediation must precede or travel with a sale
- **CFO fit:** Parenti (ex-Stryker/J&J M&A finance) - the right profile for a carve-out

The trough was FY3/26: margins are rebuilding on cost-out, but FY3/27 consensus looks ~5% too high









JPY bn	FY3/26A	FY3/27E	FY3/28E	FY3/29E
Revenue	1,010.7	1,071.9	1,118.9	1,173.7
Adjusted OP margin	14.2%	16.0%	16.8%	17.9%
Operating profit	97.1	145.0	174.3	200.2
Consensus EBIT	-	150.4	171.7	186.5
Net income	68.2	99.3	119.8	138.6
EPS (JPY)	61.3	93.1	114.1	135.2
Consensus EPS	-	98.0	113.9	124.8
FCF	18.2	55	93	110

Our estimates [e]; consensus S&P Capital IQ (14-18 Oct 2026). FY3/27 guide: OP JPY136.5-155.5bn, EPS JPY89.6-102.2.

- 1Q FY3/27: revenue +16% (~+5% cc), adjusted OP JPY30.7bn vs 13.2bn; OP JPY29.0bn vs JPY12.1bn consensus (thin, stale base)
- Drivers: US EDOF/EVIS X1 conversion, SG&A down 7pp of sales; China still about -17% cc [u]
- We are 5% below consensus for FY3/27 (Warning-Letter spend, SIS near break-even) and 8% above for FY3/29 (savings, buybacks)
- Watch: the adjusted-OP-to-OP gap was JPY1.7bn in 1Q vs ~JPY24bn guided for the year

The FDA problem: chronic, but the Warning Letter is a lagging indicator of damage already taken

Four years of FDA actions

2015-2018	Duodenoscope infections; DOJ settlement; guilty plea [u]
NOV-DEC 2022	Warning Letters: Aizu, OMSC Hachioji
2023-2025	Elevate remediation (~JPY20-32bn a year)
24-JUN-2025	Import Alert 89-04: 58 Aizu models (~1% of sales)
LATE 2025	Eight FDA inspections; ~20 products on ship-hold
13-FEB-2026	FY3/26 OP guide cut to JPY75-87bn
1-AUG-2026	New CQO Brian Barry (ex-Medtronic)
7-OCT-2026	Warning Letter: six sites; no sales/510(k) restriction
~NOV-2026	Olympus response due (15 business days)

What the Warning Letter is - and is not

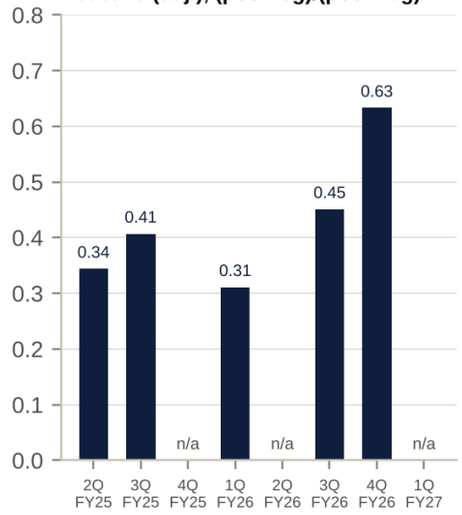
- **Is:** a formal finding that responses to the late-2025 Form 483s at Hachioji, Hinode, Aomori, Shirakawa, Hamburg and Gyrus ACMI were inadequate
- **Is not:** a restriction on manufacture, sale or new 510(k)s; it requires no recall. Company expects no P&L impact (we add JPY5-8bn of remediation spend)
- **Escalation ladder:** wider import alert, then Certificate-to-Foreign-Government holds, then consent decree (Philips Respironics precedent)
- **Our base case:** corrective plan with a third-party auditor; re-inspections in 2027; close-out in 12-18 months; Aizu alert lifted after re-inspection

Why we think the damage is mostly in the base

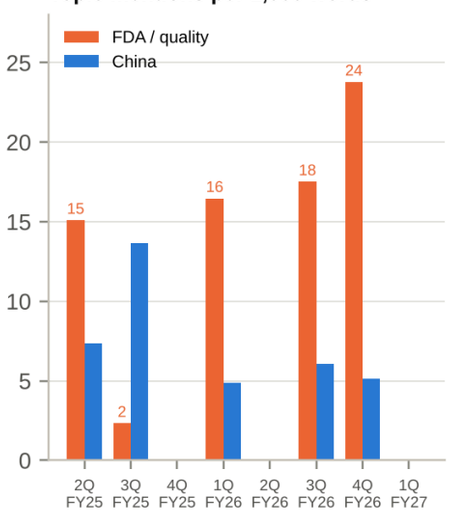
- The ship-holds (~JPY18bn of Q4 FY3/26 revenue) and ~JPY30bn FY3/26 impact already happened; ~70% of products released by Feb-26
- Quality leadership now drawn from Medtronic, BD and Bard; board includes Medtronic's former Chief Quality & Regulatory Officer
- Two of the six sites are SIS - a separation would also narrow the regulatory surface

A credible US medtech team, a confident tone - and a market that has stopped believing guidance

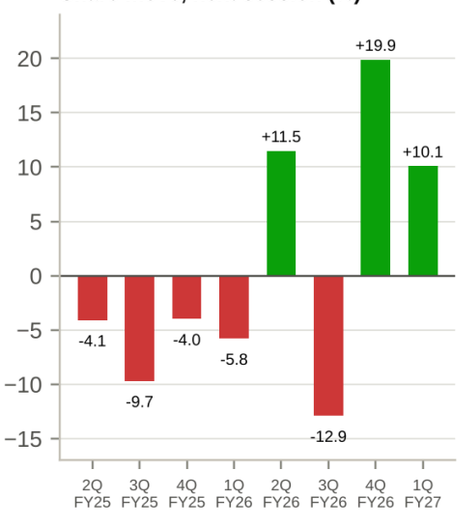
Net tone (adj.), (pos-neg)/(pos+neg)



Topic mentions per 1,000 words



Share move, next session (%)



Dictionary-based (Loughran-McDonald-style) tone on S&P transcript excerpts; FDA and China mentions per 1,000 words; next-session share move. ProntoNLP not connected this session.

What management is focused on

- Tone rose from 0.31 (Aug-25, White's first call) to 0.63 (May-26) while FDA mentions hit a series high (24 per 1k)
- The divergence was the signal: an analyst asked in May whether 483s could become a Warning Letter - they did
- Tone does not predict returns (Feb-26 scored 0.45; stock -12.9%)

Management

- **CEO Bob White** (Jun-25): ex-Medtronic EVP Medical Surgical; reset costs, 3-4-5 plan, Surgical review; two guide cuts in year one
- **CFO Michael Parenti** (Apr-26): ex-Stryker Group CFO, J&J K.K. CFO - portfolio and M&A finance
- Professional managers; 8 of 11 EOs hired since 2023; ownership <0.01% each [u]; pay escalation is a red flag (JPY994m for the ex-GI head)

Still investment grade with room to act - but the cash cushion is gone and FCF must recover

JPY200bn

Net debt (Jun-26): ~0.9x LTM EBITDA; cash JPY118.5bn after a JPY60bn buyback, JPY33bn dividend, JPY43bn BioProtect

BBB+ / A+

S&P BBB+, Moody's Baa1, R&I A+; US$500m 5.526% 2031 notes pre-fund Dec-26 maturity

JPY470bn

Buybacks FY3/22-FY3/27 YTD (226m shares at ~JPY2,080); dividends ~JPY130bn

JPY13bn

FY3/26 FCF (consensus JPY57bn): JPY62bn cash tax, working capital, leases JPY137bn

Capital-allocation record

- **Good:** portfolio pruning (cameras, Evident at 3.6x sales / ~17x EBITDA); all repurchased shares cancelled; May-26 block at JPY1,540
- **Poor:** Veran (US$340m, JPY52bn loss), Taewoong (rescinded), FH Ortho; JPY280bn bought at ~JPY2,200 in 2023-24
- **Unclear:** BioProtect at ~19x sales; Swan robotics option; "M&A machine" ambition
- **Returns:** ROIC 12.5% (FY3/26) vs 23% peak (FY3/22); ROE 8.7%

Priorities we would push for

1. Decide on SIS within FY3/27; return a large part of any proceeds
2. A standing total-return policy (e.g. 100% of FCF over three years) instead of "flexible" buybacks
3. Executive pay tied to FDA close-out, FCF and ROIC rather than adjusted OP
4. A hurdle-rate disclosure for tuck-in M&A

Yes, quietly - ValueAct sits on the board, Artisan holds 5.6% and the portfolio is already open

5.63%

Artisan Partners (large-holding report 7-Jul-26), bought after the Feb-26 collapse

2019

ValueAct settlement: Rob Hale and Jim Beasley on the board; three-committee structure

9 of 10

Independent directors; independent Chair (ex-Takeda); 7 non-Japanese

0

Shareholder proposals at the 2021-26 AGMs; no controlling or cross-shareholder

Why engagement could work here

- A receptive board that has already accepted an activist director and launched a strategic review
- A quantifiable unlock: SIS valued below zero; buyback capacity; take-private interest under the METI 2023 guidelines
- ValueAct's Hale sold into the KKR/JIC take-private of Topcon (2025) - a precedent for supporting a sponsor bid
- No anchor holder blocks anything; register dominated by trust-bank custody and foreign institutions

Where the limits are

- ValueAct's current stake is undisclosed (5.04% in 2018; partly sold in 2020) [u]
- FEFTA core-sector status for medical devices raises the bar for foreign control (Jun-26 amendments)
- Management is already doing much of the playbook - a public campaign risks looking redundant
- Short interest and JPX short positions not retrievable [data gap]

What an activist would ask for: (1) a decision on SIS (sale or JV) within FY3/27 with proceeds returned; (2) a formal total-return policy; (3) pay tied to FDA close-out, FCF and ROIC; (4) quarterly FDA-remediation disclosure (sites, open observations, re-inspection dates); (5) an explicit process for evaluating credible take-private approaches. Private engagement alongside Artisan is the efficient route.

A whole-company bid is plausible but hard (13-17x EBITDA = +45-93%); an SIS carve-out is likelier

Transaction	Date	EV	EV/sales	EV/EBITDA
Hologic - Blackstone / TPG	Oct-25	US$18.1bn	4.5x	14.3x
Topcon - KKR / JIC	Mar-25	JPY430bn	2.0x	16.9x
Evident - Bain (from Olympus)	Aug-22	JPY428bn	3.6x	~17x [e]
Hill-Rom - Baxter	Sep-21	US$12.4bn	4.2x	19.8x
Cantel - STERIS	Jan-21	US$4.4bn	4.4x	26.9x CIQ
Penumbra - Boston Scientific	Jan-26	US$14.5bn	10.9x	n/m
PENTAX Medical (Hoya)	Jul-26	Review	n/d	n/d

Source: S&P Capital IQ Transactions, company releases. Mature, profitable medtech deals: median ~4.2x sales / ~17x EBITDA.

Takeout value grid (EV / FY3/27E EBITDA of JPY216bn)

EV / EBITDA	11x	13x	15x	17x
Value per share (JPY)	2,047	2,454	2,860	3,267
Premium to JPY1,690	+21%	+45%	+69%	+93%
Premium to JPY2,032 (pre-letter)	+1%	+21%	+41%	+61%

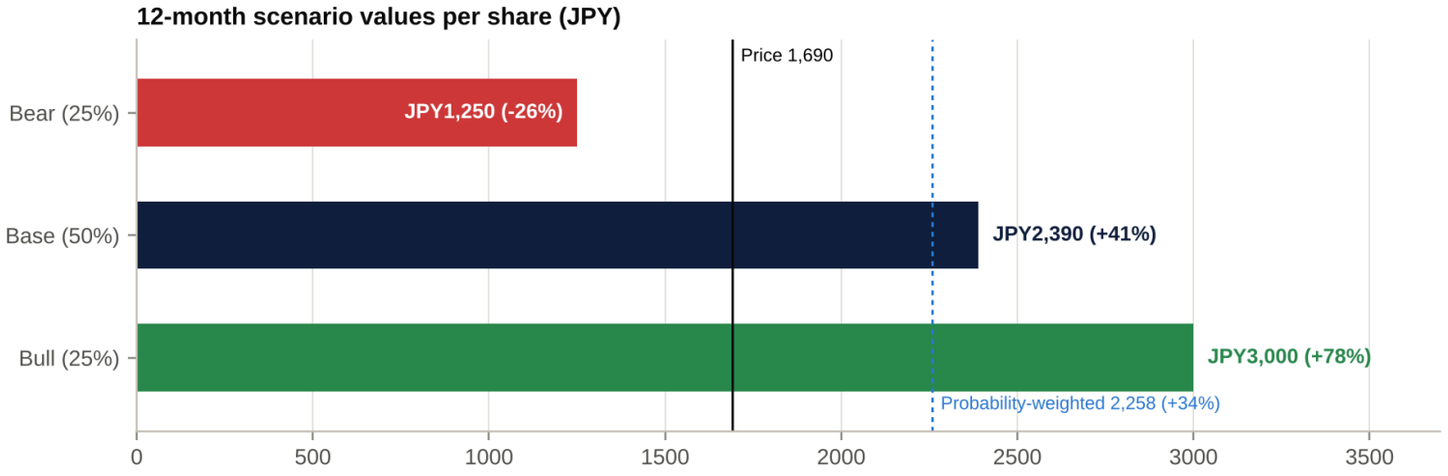
Equity = multiple x FY3/27E EBITDA - JPY200bn net debt; 1,062.8m shares.

What a control price would look like

- Central range **JPY2,500-3,000** (13.2-15.7x FY3/27E EBITDA); stretch JPY3,300 at 17x (strategic synergies)
- Likeliest buyer: a PE/sovereign club with a Japanese anchor (Topcon model) - EV ~JPY3tn is a top-3 Japanese LBO
- Strategics without scope overlap: Medtronic, J&J, Stryker, Siemens Healthineers; BSX faces antitrust; Fujifilm/Hoya blocked
- Impediments: FEFTA core sector; open Warning Letter (CVR likely); thin FCF for leverage; social optics; SOMED (Sony) change of control [u]
- We put a credible approach within 24 months at ~15-20% [e]; SIS carve-out is the more likely transaction

Asymmetric: -26% downside vs +78% upside; probability-weighted JPY2,258

	Bear (25%)	Base (50%)	Bull (25%)
FDA outcome	Escalation: wider import alert / consent-decree talk	Plan accepted; close-out in 12-18 months	Rapid close-out; Aizu alert lifted
FY3/28E EPS / adj. OP margin	~JPY80 / ~13%	JPY114 / 16.8%	~JPY130 / ~18.5%
SIS	Retained, loss-making	Sale / JV at ~1.2x sales	Sale at 1.6x + buyback
Valuation	15.5x P/E (~7x EV/EBITDA)	SOTP: GIS 12x EBITDA	Bid at ~15.7x FY3/27E EBITDA
Per share	**JPY1,250 (-26%)**	**JPY2,390 (+41%)**	**JPY3,000 (+78%)**



Downside support: the GI franchise, investment-grade balance sheet and buyback habit; even the bear case leaves the stock on ~7x EBITDA. **Upside driver:** FDA de-risking plus an SIS decision; a bid is the free option. Probability-weighted value JPY2,258 (+34%), ~36% expected total return with the dividend.

The FDA response and 2Q results in November decide the next leg; the SIS review is the bigger prize

~30-OCT TO EARLY NOV-26 [E]	**Warning Letter response to FDA**	Third-party auditor; corrective plan; timetable; any new ship-holds	CRITICAL
EARLY-MID NOV-26 [E]	**2Q FY3/27 results**	Guide narrowing; WL cost; SIS recovery; China; possible new buyback	HIGH
8-DEC-26	**US$500m 2.143% notes mature**	Pre-funded by 2031 notes; higher interest cost	LOW
MID-JAN-27	**J.P. Morgan Healthcare Conference**	FDA narrative; Surgical review update; M&A	MEDIUM
~12-FEB-27 [E]	**3Q FY3/27 results**	Four consecutive February guide cuts - a hold would be a signal	HIGH
H1 2027 [E]	**PENTAX sale outcome (Hoya)**	Fresh endoscopy transaction multiple; new competitor owner	MEDIUM
ROLLING 6-24 MONTHS	**FDA re-inspections; WL close-out; Aizu alert**	Close-out = re-rating; new 483s = major negative	CRITICAL
ROLLING	**Surgical strategic review outcome**	Sale / JV / retain; use of proceeds	HIGH
~12-MAY-27 [E]	**FY3/27 results, FY3/28 guide, returns**	Buybacks announced at FY results in 2023-26	HIGH

What would make this thesis wrong

01 **FDA escalation**

Consent decree, wider import alerts (GI scopes from Hachioji/Aomori/Shirakawa) or CFG/510(k) holds; North America is 40% of sales. Philips Respironics shows how long and costly this can be

02 **Guidance credibility**

OP guidance cut in FY3/24, FY3/25 and FY3/26; a 3Q cut in each of the last four Februaries; consensus already above the FY3/27 midpoint

03 **China and Japan decline**

China -34% since FY3/22 (VBP, anti-corruption, Buy China; 1Q FY3/27 -17% cc [u]); Japan down every year; domestic challengers in scopes and endotherapy

04 **Tariffs and FX**

15% US tariff (~JPY25bn in FY3/26); Section 232 device tariff risk; a sharp yen rebound if the BoJ accelerates hikes

05 **Capital allocation**

Debt-funded buybacks; FCF of JPY13bn in FY3/26; "M&A machine" ambition after Veran and Taewoong failures; pay escalation

06 **Single-use and competition**

Single-use duodenoscopes/bronchoscopes (BSX, Ambu) threaten the service annuity; a new PENTAX owner could compete harder

INVESTMENT COMMITTEE DECISION

Recommendation: BUY

JPY2,350
12-mo target (+39%)

9.35x
TEV / LTM EBITDA (6th pctile)

JPY2,389
Base-case SOTP per share

JPY2,258
Probability-weighted (+34%)

- The global #1 in GI endoscopy (~70% share [u]) trades at 9.35x EBITDA - a 32% discount to medtech peers at a peer-median margin - after an FDA Warning Letter that restricts nothing
- Earnings troughed in FY3/26; cost-out and US EDOF demand are rebuilding margins (1Q adjusted OP +133%)
- The Surgical review can crystallise JPY300-490 per share; a take-private at 13-17x EBITDA implies JPY2,450-3,270
- Main risks: FDA escalation, another guidance cut, China - hence two-step, event-driven sizing

Sizing and monitoring

Event-driven, medium conviction. Starter half-position now; add after the Warning Letter response and 2Q results (Nov-26) show no escalation. Optional short Japan medtech basket hedge.

Hard review triggers: any expansion of Import Alert 89-04 or consent-decree language; new ship-holds of GI scopes; a guidance cut at 2Q; SIS review ended with "retain"; net debt above 1.5x EBITDA.

Track separately: FDA response (~early Nov), 2Q results and buyback, JPM (Jan), 3Q (Feb), PENTAX sale, FDA re-inspections, FY results (May-27).